US midterm elections and stock prices

Midterm elections do not themselves cause stock prices to fall.

Historically, however, uncertainty about policy has often increased in midterm years, and prices have tended to become more volatile before the vote.

Before the election: greater uncertainty can increase volatility. After the election: uncertainty tends to ease, supporting a recovery.

The 2026 US midterm elections take place on November 3. For the autumn market, they are one source of uncertainty to watch, rather than a reason to assume stocks must fall.

Drawdowns in midterm election years

According to Fidelity’s figures, the average maximum drawdown in the second year of a US presidential term - the midterm election year - has been about 19.4% since 1961.

-19.4%
Average maximum drawdown in midterm election years

In 15 of the 24 midterm election years since 1930, the S&P 500 fell by at least 5% during September-October.

These figures alone do not establish that elections caused the declines. Interest rates, the economy, corporate earnings and wars also affect market outcomes.

Why stocks have often risen after elections

Once the election ends, the composition of Congress and the direction of policy gradually become clearer. Markets tend to favor improved visibility, beyond the election result itself.

+5.7%
Average return over the three months after the election

+12.4%
Average return over the six months after the election

Schwab’s sample covers 13 midterm elections since 1974. Six-month returns were positive in all 13 cases. Past performance does not guarantee future results.

Before the vote, uncertainty can weigh on stocks. After the vote, greater clarity can support them.

Four factors to watch in 2026

1. The Fed and interest rates
Rising interest rates tend to put pressure on equity valuations.

2. Corporate earnings
A central driver of stock prices over the long term.

3. Valuation levels
When stocks are expensive, their reaction to negative news can be larger.

4. Midterm elections
One source of uncertainty and market volatility in October-November.

There are historical patterns linking midterm elections and stocks. Actual prices also depend on rates, earnings and the economy. Historical market data do not guarantee future price movements.